OPEX CONSULTING · REGTECH365

Compliance Advisory & Regulatory Technology · Lagos, Nigeria

CBN AML BASELINE STANDARDS

Gap Assessment Report

Circular BSD/DIR/PUB/LAB/019/002 — 17/04/2026

INSTITUTION Johndup	INSTITUTION TYPE Deposit Money Bank
CBN RISK CLASSIFICATION Medium	REPORT DATE 17/04/2026
ROADMAP DEADLINE 10 June 2026	FULL COMPLIANCE DEADLINE March 2028

⚠ CRITICAL

Johndup's manual AML processes and governance gaps expose it to severe regulatory and operational risks.

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Not legal advice

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SECTION ONE

01 Executive Summary

> **Johndup, a small standalone DMB with limited AML infrastructure, faces significant gaps in AML systems, governance, and policies, risking non-compliance.**

The CBN issued the AML/CFT Baseline Standards in 2026, requiring institutions to implement automated AML systems, comprehensive policies, and governance frameworks. Johndup's scope is limited, with manual processes across all standards.

Assessment shows critical gaps: no automated systems, governance, or policies. Only 1 of 12 standards is compliant. System status is manual, governance is absent, and risk management is minimal.

Urgent action is needed before the 10 June 2026 roadmap deadline. OPEX supports include policy drafting, vendor evaluation, and staff training to accelerate compliance.

⚠ CBN mandates that all DMBs must establish automated AML systems and governance frameworks to ensure effective compliance and risk mitigation.

1/12 STANDARDS COMPLIANT	**11** CRITICAL GAP RATINGS	**11** GAP IDENTIFIED RATINGS
0/10 GOVERNANCE CONTROLS	**Manual** AML SYSTEM STATUS	**PEP exposure** FRAUD EXPOSURE RISK LEVEL

SECTION TWO

02 Institution Profile & Assessment Scorecard

INSTITUTION	**Johndup**
INSTITUTION TYPE	Deposit Money Bank
CBN RISK CLASSIFICATION	Medium
DAILY TRANSACTION VOLUME	1K–50K
GEOGRAPHIC FOOTPRINT	Single state
GROUP / HOLDING STRUCTURE	Standalone
ELEVATED RISK INDICATORS	PEP exposure
ROADMAP SUBMISSION DEADLINE	**10 June 2026**
FULL COMPLIANCE DEADLINE	March 2028

ℹ **Why Johndup's status matters.** Johndup is a small standalone DMB operating in a single state, with limited AML infrastructure and manual compliance processes, facing high regulatory risk.

SECTION THREE

03 Requirement Categories — Mandatory vs Conditional

This assessment covers all 12 AML standards and governance controls, highlighting critical gaps in systems, policies, and governance frameworks for Johndup.

MANDATORY Applies to all without exception

CONDITIONAL Activated by risk/type

5.X CBN circular section

REQUIREMENT AREA	CBN REF	CATEGORY	TRIGGER FOR JOHNDUP
Customer Due Diligence and KYC	5.1	MANDATORY	Current manual CDD/KYC processes do not meet real-time or automated standards, risking non-compliance.
Sanctions & PEP Screening	5.3	MANDATORY	Manual sanctions screening against limited lists; no AI/ML or real-time screening capabilities.
Transaction Monitoring	5.5	MANDATORY	Manual transaction monitoring; no real-time or automated system in place, risking detection failures.
Risk Assessment	5.4	MANDATORY	Manual risk assessment with no dynamic scoring or automated risk scoring system.
Fraud Monitoring	5.6	MANDATORY	No fraud monitoring system; risk factors include material fraud exposure, increasing operational risk.
Case Management & Audit Trail	5.7	MANDATORY	Manual case management; no audit trail or automated workflow, risking non-compliance.
Reporting & Suspicious Transaction Reports	5.8	MANDATORY	Manual reporting via goAML portal; no automated or fully documented approval process.
Internal Audit & Compliance	5.9	MANDATORY	Audit not covered; no internal audit process for AML, risking oversight.
AML Governance & Policies	5.2	MANDATORY	No AML governance framework or policies; governance gaps undermine compliance.
System Security & Data Protection	5.11	MANDATORY	No encryption, MFA, or data sovereignty measures; system security is inadequate.
Staff Training & Awareness	5.12	MANDATORY	No AML training program; staff awareness is unestablished, risking non-compliance.

REQUIREMENT AREA	CBN REF	CATEGORY	TRIGGER FOR JOHNDUP
CBN Roadmap Submission	ROADMAP	MANDATORY	Roadmap not started; submission deadline is 10 June 2026, requiring immediate action.
Governance Controls	GOVERNANCE	MANDATORY	No governance controls in place; governance score is zero, risking severe non-compliance.

Immediate implementation of automated AML systems, governance, and policies is essential to meet CBN standards and avoid severe penalties.

SECTION FOUR

04 Gap Analysis — 12 CBN Baseline Standards

5.1 Customer Due Diligence and KYC

CRITICAL GAP

CDD KYC

> Current manual CDD/KYC processes lack automation and real-time verification, risking non-compliance with CBN standards.

REQUIRED ACTION

Implement automated CDD/KYC processes with real-time verification before the roadmap submission deadline.

REGTECH365 SOLUTION

Deploy RegPort for automated customer onboarding, verification, and risk assessment workflows.

→ RegPort

5.2 Sanctions & PEP Screening

CRITICAL GAP

SANCTIONS SCREENING | PEP SCREENING

> Sanctions screening is manual against limited lists; no AI/ML or real-time screening, risking sanctions violations.

REQUIRED ACTION

Automate sanctions and PEP screening with AI/ML and real-time list updates before the deadline.

REGTECH365 SOLUTION

Implement RegGuard for automated sanctions screening against comprehensive lists with real-time updates.

→ RegGuard

5.3 Transaction Monitoring

CRITICAL GAP

TRANSACTION MONITORING

> Manual transaction monitoring with no real-time or network analysis; high risk of undetected suspicious activity.

REQUIRED ACTION

Deploy real-time transaction monitoring system with network analysis capabilities before the roadmap deadline.

REGTECH365 SOLUTION

Use RegPort for real-time multi-scenario transaction monitoring and network analysis.

→ RegPort

5.4 Risk Assessment

CRITICAL GAP

RISK ASSESSMENT

> Manual risk assessment with no dynamic scoring; unable to adapt to evolving risk profiles.

REQUIRED ACTION

Implement automated risk assessment with dynamic scoring and risk profiling tools before submission.

REGTECH365 SOLUTION

Leverage RegPort for automated risk scoring and customer risk profiling.

→ RegPort

5.5 Transaction Monitoring System

CRITICAL GAP

TRANSACTION MONITORING SYSTEM

> No automated transaction monitoring system; manual processes risk delayed detection of suspicious activities.

REQUIRED ACTION

Implement a full real-time transaction monitoring system via RegPort before the roadmap deadline.

REGTECH365 SOLUTION

Deploy RegPort for comprehensive real-time transaction monitoring and alert management.

→ RegPort

5.6 Fraud Monitoring

CRITICAL GAP

FRAUD MONITORING

> No fraud monitoring system; risk factors include material fraud exposure, increasing operational vulnerabilities.

REQUIRED ACTION

Establish full fraud monitoring with real-time detection and risk feed before the deadline.

REGTECH365 SOLUTION

Integrate RegGuard for fraud detection and risk feed management.

→ RegGuard

5.7 Case Management & Audit Trail

CRITICAL GAP

CASE MANAGEMENT

> Manual case management with no audit trail; risks non-compliance and loss of investigation integrity.

REQUIRED ACTION

Implement automated case management with audit trail features before the submission deadline.

REGTECH365 SOLUTION

Use RegComply for case management and audit trail automation.

→ RegComply

5.8 Reporting & Suspicious Transaction Reports

CRITICAL GAP

REPORTING

> Manual reporting via goAML portal; no automated or fully approved reporting process, risking delays.

REQUIRED ACTION

Automate suspicious transaction reporting with documented approval workflows before the deadline.

REGTECH365 SOLUTION

Leverage RegComply for automated reporting and approval workflows.

→ RegComply

5.9 Internal Audit & Compliance

CRITICAL GAP

INTERNAL AUDIT

> Audit not covered; no internal audit process for AML, risking oversight and non-compliance.

REQUIRED ACTION

Establish internal audit coverage with at least biannual reviews before the deadline.

REGTECH365 SOLUTION

Support internal audit co-sourcing with RegLearn training modules.

→ RegLearn

5.10 AML System Security & Data Sovereignty

CRITICAL GAP

SYSTEM SECURITY

> No encryption, MFA, or data sovereignty measures; system security is inadequate for compliance.

REQUIRED ACTION

Implement full encryption, MFA, and ensure data sovereignty within Nigeria before submission.

REGTECH365 SOLUTION

Configure RegPort with full security features including MFA and data controls.

→ RegPort

5.11 BIA & Data Retention

CRITICAL GAP

BIA | DATA RETENTION

> No BIA or data retention policy; system security and compliance are at risk.

REQUIRED ACTION

Develop BIA and data retention policies aligned with AML requirements before the deadline.

REGTECH365 SOLUTION

Use RegComply for policy documentation and data management.

→ RegComply

5.12 Staff Training & Awareness

CRITICAL GAP

STAFF TRAINING

> No AML training program; staff awareness is unestablished, risking non-compliance and operational errors.

REQUIRED ACTION

Implement comprehensive AML training with records before the roadmap submission deadline.

REGTECH365 SOLUTION

Utilize RegLearn for staff training and compliance awareness modules.

→ RegLearn

Roadmap CBN Roadmap Submission

CRITICAL GAP

ROADMAP SUBMISSION

> Roadmap not started; immediate action required to meet the 10 June 2026 deadline for compliance.

REQUIRED ACTION

Complete and submit the CBN AML implementation roadmap by 10 June 2026.

REGTECH365 SOLUTION

Support provided via AML policy drafting, vendor evaluation, and RegTech365 demo to accelerate submission.

SECTION FIVE

05 Governance Assessment — Section 6 Controls

Johndup's governance framework is absent, with no MLRO, policies, or governance controls, severely impairing AML compliance and oversight.

0%

Governance Score — Critical Gap

Governance gaps undermine AML effectiveness, risking regulatory sanctions and operational vulnerabilities. Immediate governance framework establishment is critical.

GOVERNANCE CONTROL	CBN REF	CATEGORY	JOHNDUP STATUS	ACTION REQUIRED
Formally designated MLRO or CCO	GOVERNANCE	MANDATORY	Not in place	Appoint a qualified MLRO or CCO and document the appointment immediately.
Board-approved AML/CFT/CPF Policy	GOVERNANCE	MANDATORY	Not in place	Draft and obtain board approval for AML/CFT/CPF policy before the roadmap deadline.
Documented AML Solution Governance Framework	GOVERNANCE	MANDATORY	Not in place	Develop and document AML governance framework aligned with standards.
Formal Change Control for AML Configurations	GOVERNANCE	MANDATORY	Not in place	Establish change control procedures for AML system configurations immediately.

GOVERNANCE CONTROL	CBN REF	CATEGORY	JOHNDUP STATUS	ACTION REQUIRED
Model Governance Committee for AI/ML	GOVERNANCE	CONDITIONAL	Not in place	Implement model governance for AI/ML once systems are in place.
Documented Alert Review SLAs	GOVERNANCE	CONDITIONAL	Not in place	Define and document alert review SLAs before system deployment.
Vendor/Third-Party Management Policy	GOVERNANCE	CONDITIONAL	Not in place	Draft vendor management policy aligned with AML vendor evaluation support.
Data Retention and Destruction Policy	GOVERNANCE	CONDITIONAL	Not in place	Develop data retention and destruction policy aligned with AML requirements.
BVN/NIN Integration	5.2	MANDATORY	Manual	Achieve real-time BVN/NIN integration for automated KYC verification.
AML Training Programme with Records	5.12	MANDATORY	No	Implement AML training program with documented records before submission deadline.

SECTION SIX

06 Top 5 Priority Actions

CBN Roadmap Submission

01 HARD DEADLINE: 10 JUNE 2026 · MANDATORY FOR ALL INSTITUTIONS

Johndup must complete and submit the AML implementation roadmap by 10 June 2026 to ensure compliance. Immediate focus on governance, policies, and system deployment is essential. OPEX supports include policy drafting, vendor evaluation, and AML system demos to accelerate progress and meet deadlines.

02 AML Governance Framework

IMMEDIATE ACTION REQUIRED

Establish a formal AML governance framework, appoint MLRO, and draft policies to meet CBN standards. This foundational step is critical for compliance and operational integrity. OPEX provides policy drafting and governance advisory support.

03 Automated Customer Verification

PRIOR TO ROADMAP SUBMISSION

Implement real-time BVN/NIN integration and automate CDD/KYC processes to meet CBN standards. This reduces manual errors and enhances compliance. Support includes vendor evaluation and RegPort deployment.

04 System Security & Data Policies

PRIOR TO ROADMAP SUBMISSION

Develop and implement data retention, encryption, MFA, and data sovereignty policies. These are essential for AML system security and compliance. RegPort configuration supports these security measures.

05 Staff AML Training

PRIOR TO ROADMAP SUBMISSION

Deploy comprehensive AML training modules via RegLearn, ensuring staff awareness and compliance readiness. Training records are mandatory for audit and compliance verification.

SECTION SEVEN

07 Recommended Implementation Roadmap

Johndup's AML roadmap must address governance, system deployment, policy development, and staff training to meet the 10 June 2026 deadline.

PHASE 1 — UNTIL 10 JUNE 2026

Foundation & Submission

Establish governance, draft policies, implement initial systems, and prepare the submission. Focus on governance, policy drafting, and vendor evaluation.

- AML governance framework
- AML policies
- Vendor evaluation report
- Roadmap submission

PHASE 2 — POST-SUBMISSION TO SEPTEMBER 2026

Governance & Architecture

Finalize governance, design system architecture, and complete policy documentation. Prepare for system deployment and staff training.

- Finalized AML governance
- Complete AML policies
- System architecture design
- Staff training plan

PHASE 3 — OCTOBER 2026 TO MARCH 2027

System Deployment

Deploy AML systems, integrate security features, and test real-time functionalities. Ensure staff are trained and policies are operational.

- Deployed AML systems
- Security configurations
- Staff training completion
- Operational policies

PHASE 4 — APRIL 2027 TO MARCH 2028

Assurance & Examination Readiness

Conduct internal audits, validate AI/ML models, and prepare evidence pack. Achieve full compliance before the regulatory deadline.

- Internal audit reports
- AI/ML validation
- Compliance evidence pack
- Staff refresher training

MILESTONE	TARGET DATE	OWNER
Roadmap submission	2024-06-10	Johndup
Governance framework approval	2024-09-01	Johndup

MILESTONE	TARGET DATE	OWNER
System deployment completion	2027-03-31	Johndup
Internal audit completion	2027-09-30	Johndup
AI/ML model validation	2027-12-31	Johndup
Full compliance achieved	2028-03-31	Johndup

SECTION EIGHT

08 RegTech365 Product Suite & Advisory

Johndup benefits from comprehensive support including policy drafting, vendor evaluation, AML system demos, and staff training, facilitated by RegTech365 and CBN advisory.

> 💡 **What makes this different.** RegTech365 offers tailored solutions for small banks like Johndup, combining automation, security, and compliance training to accelerate AML readiness.

RE RegPort

Integrated AML Platform for CBN Baseline Standards Compliance

`5.1 — Customer Due Diligence` `5.4 — Risk Assessment` `5.5 — Transaction Monitoring` `5.10 — System Security & Data Sovereignty`

RegPort unifies CDD/KYC, sanctions/PEP screening, transaction monitoring, customer risk assessment, and regulatory reporting in a single platform. The platform is purpose-built for Nigerian financial institutions, featuring real-time BVN/NIN integration via NIBSS, automated goAML/NFIU filing, and AI-enabled fuzzy matching for international sanctions lists.

RE RegGuard

Real-Time Fraud Monitoring with Bidirectional Risk Feed

5.3 — Sanctions & PEP Screening | 5.6 — Fraud Monitoring

RegGuard provides real-time fraud monitoring for card issuance, mobile money, and agent network channels. It detects pattern-based fraud like SIM swap attacks and account takeover, with an automated feed that pushes fraud alerts directly into customer risk scores to identify money laundering disguised as fraud.

RE

RegComply

Enterprise Case Management with Immutable Audit Trails

5.7 — Case Management & Audit Trail | 5.8 — Reporting & STR/CTR

RegComply delivers the mandatory Case Management and Governance Audit layer. It enforces Maker-Checker workflows for investigation, provides role-based access for MLROs, and maintains tamper-proof audit logs of all configuration changes and alert dispositions required for CBN examination.

RE

RegLearn

AML Training Programme with Documented Records

5.12 — Staff Training & Awareness

RegLearn provides role-specific AML/CFT/CPF training modules covering the 12 Baseline Standards. The platform tracks staff completion, assessment scores, and certification status, producing the documented training records specifically mandated under Section 6.7 of the Circular.

OPEX Consulting Advisory Services

- **CBN Roadmap Template completion** — End-to-end support in completing and validating the mandatory 12-section roadmap for June 10th submission.
- **MLRO appointment advisory** — Guidance on role definition, reporting lines, and CBN notification for newly appointed MLROs.
- **ISO 27001 and 42001 alignment** — Gap analysis and implementation support for international security and AI governance standards.
- **Governance framework drafting** — Drafting of AML Solution Governance, Change Control, and Data Retention policies.
- **AML/CFT/CPF policy drafting** — Development of Board-approved policies aligned with the new 2026 Baseline Standards and ISO 42001.
- **Evidence pack preparation** — Compilation of all technical and governance documentation into an audit-ready format for CBN examination.
- **Vendor due diligence** — Structured evaluation of RegTech platform providers against CBN technical requirements.

Accelerate Your AML Compliance Journey

Partner with RegTech365 for tailored AML solutions, policy drafting, and staff training to meet CBN standards efficiently.

Get Started Today

Contact Support